AI Selloff: Technical or Macro?

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis The episode argues that investors and traders should adopt a "Pole Pole" mindsetâ€”thinking slowly and calmly rather than reacting reflexively to market volatilityâ€”to navigate the current AI-driven CapEx cycle. While recent equity sell-offs in the Nasdaq and high-beta sectors are severe, traditional macro indicators (like FX rates and bond yields) have remained surprisingly stable due to conflicting liquidity signals versus long-term growth projections. The hosts contend that standard valuation metrics like P/E ratios are unreliable during this binary phase of capital expenditure cycles, suggesting instead that equity returns next year will likely follow a 50/50 distribution between significant gains and losses, necessitating a focus on financing conditions over earnings multiples.

2. Key Arguments & Data

3. **"Pole Pole" Philosophy:** Inspired by African idiom ("go slow"), the speakers advocate for inserting a "space" between stimulus (market volatility) and response to avoid reactive trading errors during high beta drawdowns.
4. **Equity Volatility Disconnect:** The Nasdaq dropped 7% in one day, with the high-beta momentum basket down 20% year-to-date (after gaining 60% in June). Surprisingly, broad FX assets (Euro, Yen) and rates have remained largely unchanged due to conflicting timelines: liquidity-driven dollar buying vs. structural bearishness on the long-term AI growth thesis.
5. **AI CapEx Cycle:** The market is approaching the peak of an AI-capex cycle where the second derivative of spending is flattening. This creates a "reflexive" mechanism where collapsing share prices limit borrowing, thereby capping CapEx and future earnings (lowering inflation expectations and reducing Fed hike probability in 2027).
6. **Valuation Flaws:** Traditional Price/Earnings (P/E) ratios are ineffective for binary cycles. Example: SK Hynix trades at a ~3.5x forward P/E (seemingly cheap), but earnings projections post-peak

CapEx will likely be unrealized as capital spending reverses, making the multiple irrelevant.

7. **Equity Distribution:** The standard normal return distribution is invalid. Instead, there is a subjective probability that equities will face a binary outcome: a 50% chance of down 20% and a 50% chance of up 20% due to financing conditions and CapEx uncertainty.
8. **FX (Japan/Yen):** Japan faces potential cyclical inflation driven by nominal wage growth demand (6%+ requested in labor negotiations). The thesis for a Yen rally exists but is frustrated by a "wall of supply" around the 160-158 USD levels and carry trade headwinds.
9. **Precious Metals:** Gold holds near $4,000 while stocks collapse, presenting an opportunity relative to momentum drawdowns. Bullish conditions for metals arise if the Fed pauses hiking due to slowing nominal growth (real rates remain positive) or if inflation slows but fiscal policy misalignments persist.

10. **Market Psychology:** "Bad news, good price action" is currently playing out with stocks falling while the dollar holds steady against Yen/Euro. Hedge fund liquidation headlines are being absorbed without triggering massive unwinds as position risk was already low.

11. Actionable Takeaways

12. **Mindset Adjustment:** Prioritize slow, deliberate analysis ("Pole Pole") over reacting to daily intraday volatility or short-term liquidity shocks.
13. **Valuation Framework:** Stop relying on P/E multiples for sector rotation in CapEx-heavy sectors; focus instead on the sustainability of earnings relative to capital spend and financing availability.
14. **Equity Positioning:** Acknowledge the high binary risk in equities next year (up/down 20%) rather than assuming mean-reverting performance, and size positions accordingly given the lack of visibility into Q1 2027.
15. **Japan/FX Strategy:** Monitor Japanese wage negotiations and inflation data as catalysts for a Yen rally; be aware that the market may shake out before breaking through resistance levels around USD 160-158.

16. **Gold Allocation:** Gold is currently underperforming tech stocks but holding value better than momentum assets. Consider simple directional trades (Long Gold with stop below $3,900) rather than complex option structures to capture potential upside if the Fed pauses hikes or liquidity reconfigures into conservative havens.

Full Transcript

the macro trading floor. With me, Alfonso Peccatillo, founder of the Macro Compass and former head of investments at the Large European Bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the Art of Currency Trading. If you want to know what's going on in markets and where they're going, you found the right podcast.

Hi everyone and welcome back to the macro trading floor. Alf and Brent with you. I just came back from a trip in another continent where they call us rushed Westerners. We do everything way too fast, way too rushed. We run to everything. It's in Africa where I went for a bit of a vacation. And I'm going to start this podcast with a little gem that I learned over there. They have a way of saying called pole pole, which basically translates into like just goes low, thinks low, acts low. And they basically say when you have a problem in life or decision to make, which also would work for trading, I believe, it's generally speaking much better to think slow rather than thinking fast. I think it adapts very well to markets where the Nasdaq is drawing down 7% in a day. So you feel the urge to think very fast.

And maybe in this podcast we try to think slow about it. I don't know. At least we try to go pole pole, Brent. What do you say? I mean, I think that's great advice. And sometimes you see that if you go somewhere like, I've not been to Africa, but somewhere like Thailand, where the perspective is just so different and the world's just spinning so much slower. Your pole pole reminds me of this quote, between stimulus and response, there is a space in that space is our power to choose our response. in our response lies our growth and our freedom and it's sort of the same thing of like are you just reacting to everything around you or are you taking a pause thinking and then you know acting rationally and it applies to trading and investing but it also applies you know to to interactions with your wife and your children and all that too right is do you just react to everything or can you create a space between stimulus and response so Here we are. Absolutely. Absolutely. So I was off for maybe two weeks, a bit less than that. And you

said you did a mismatch. You did a mismatch. I'm like, what is he talking about? Actually, actually, the fun part has been that aside from the high beta momentum basket being down 20% on the year after being up 60% on the year in June, I repeat, something was up 60% in June is now down 20% on the year in November, apart from this roller coaster momentum.

the broad Implications for what we trade most effects and rates has been actually not much if I really didn't see the screen I came back the euro is trading again around 112 and JPY hasn't moved and even emerging market effects to be honest hasn't done a lot over the last 10 to 12 days and In rates. Yeah, maybe you can say okay a few basis point of cuts have been taken away from the front end of the Fed and that's pretty much it so In the meantime, as the Nasdaq drops 7% in a day, how can we explain that there is such little follow through in broader macro asset classes? Well, in FX, I think it's pretty simple. And I was just looking at the chart, my chart of Euro with French spreads and interest rate differentials are exactly now where they were at the start of October. And same with the currency.

But to answer your question, I think the issue with the dollar is this, that there's this split time frame thing where when liquidity gets sucked out of the market, it's automatic buy dollars against most currencies. That's just like the reflexive. You know, the algorithms are tuned that way and humans just tend to, you know, we see stocks down 5%, you sell Aussie yen or whatever. People are tuned that way as well. And then the bigger picture macro is that money flowing out of the US and slower AI CapEx growth is bad for the dollar because if you believe in the one-legged stool thing of AI CapEx kind of being the thing that has propped up stocks and the economy at the margin, obviously there's lots of other parts of the stock market and the economy, but the marginal gains mostly have been AI CapEx driving the economy and inflation and everything, then That should be bad for the dollar because at the margin, the Fed will be hiking less and you'll have less growth in 2027 as AI Cup X becomes a drag instead of a tailwind. And so essentially you have pretty strong reasons to buy dollars on one time frame and pretty strong reasons to sell dollars on another time frame. And then it just gets super confusing. And then normally, the other factor that would come in when there's a really big risk de-grossing kind of trade like this where you hear about funds shutting down and long short people getting

shutting down and things like that. Normally when that happens, you will get just unwinds of positions. So whatever the positioning is, like in 08, the market was massively short dollars and in 2000, the market was long dollars, et cetera.

you would get an unwind, but actually the market didn't really have that big of a position going into this. The dollar longs had already kind of been cooled off a little bit, so you didn't really get a positioning push either. So, you know, here we are. I mean, dollar yen, most currency of the major currency pairs are pretty close to unchanged other than Aussie because there there was a large long position and the RBA Was kind of one of the big reasons for people to be long Aussie and they were kind of shockingly dovish Yeah, I'm trying now to go into rates and The December meeting at the Fed has moved between 16 and 20 basis points priced in all the time So yes a little bit of you know some odds being taken off But at the end the market doesn't seem to think that a drawdown in the NASDAQ is enough for portion company not to deliver on a very telegraphed hike And then in 2027, distribution of outcomes is still towards hikes. And if you really were to think, Brandon, this is a proper AI CapEx online where we have reached the part of the cycle that the second derivative of CapEx is flattening or slowing down. And therefore that nominal growth will slow down as a result of it. Perhaps it's a bit of a reflexive thing where share price is dropping.

limits the amount of CapEx even less than forecast because these companies can't go up and borrow all this money if their share prices are collapsing. It becomes then a reflexive mechanism where CapEx is going to be quite lower, earnings are going to be quite lower as a result. That's not an environment where the Federal Reserve hikes a few more times. If anything, if you get to that point, then the market should be pricing 50-50 of hikes and cuts, like they're doing in Australia right now, for example, right? And they're not. They're still pricing a few more hikes next year. So overall, it seems like the macro implications of this sell-off are close to zero at the moment. There are like cross currents, and it has mostly been so far a very technical liquidation event of highly leveraged positions in momentum and in tech. That's what it looks like at the moment, also in rates when I look at the distributions.

Yes, people have bid up a bit of the optionality for cuts or calls in bonds. That does make sense, but at the margin, I don't see a big shift or a big impact on rates or effects, which really makes me think, what about next year? Because everybody, I get a lot of questions now, is 27,000 for the NASDAQ level where we should buy? Honestly, like it's literally a technical market. So up to you and your resistances and your whatever you use, Bollinger bands, I don't know. I am much more interested because of my timeframes into next year. And I was asking my new friend Claude, hey, can you show me examples in the past of CapEx driven cycles, possibly that funded CapEx? Can you show me what, you know, what happens during these cycles?

This question comes because an old friend of mine told me this morning. Hey, do you know that Korea's 12 months forward PE is now 3.5x? So I said, you know, the cost piece is absolute massive value. It's 3.5x forward PE. And I thought to myself, okay, but how do I think about PE in such a binary outcome? You know, like this is not a standard cycle. We're talking about a massive debt-driven complex. So you ask Claud, he goes back and he says, okay, Do you know there was a 2018 drum cycle, memory cycle? I didn't even remember, to be honest, where Samsung and SKINX and Micron and these companies were going to the moon. And it was Cup Extreme as well, of course, much, much smaller than today. And then, Claude says, you know, at some point, prices of compute go down, this drum prices start going down, earnings are flattening, and you know, the earnings estimate goes down.

The PE at that point is 3.5 or 4 or 5. It looks very cheap. But the reality is that because those earnings are still inflated, when the CapEx cycle unwinds, this PE means nothing. Because the year after those earnings aren't going to be realized and therefore the PE doesn't really mean much. The E basically is completely off. That's what Claude is trying to say. And if this time you are again at this point where the cost per earnings have been revised down already plenty of times this year from July, August onwards, the argument by which SKINX is trading at 3x is absolutely irrelevant. The 12 month forward return after peak capex, let's say, second derivative are negative 30, negative 40% 12 month forward. So I'm really like asking myself, how do I think of the distribution of equities next year? Because it

looks to me like there is a 50% chance that equities are going to be down 20-30% next year as we are at peak cupex cycle and those PE's don't make any sense even if you say the PE of the S&P is now 17 doesn't really matter guys if the cupex cycle is unwinding and then there is a 50% chance where the cupex cycle isn't unwinding at least not to the extent that people think next year we will really have 1.2 trillion we will really have the earnings up 20% and then you're buying companies that will deliver 20% earnings at valuations that are much cheaper than they were over the last three years. So it looks to me like 50% chance down 20%, 50% chance up 20%. That looks to me the distribution of outcomes for next year. And the thing is, so it's funny that you mentioned this because three different people, I put a chart in AMFX this week showing like the standard narrative cycle and how potentially we're at the peak of, you know, after three years of chat GPT, we've had enough time to reach the peak of the narrative cycle potentially.

for this round of AI or whatever. And three different people came to me and said, yeah, but look at price earnings ratios. And a couple of things about that. So first of all, I'm not sure I know anyone that's ever made money using price earnings ratios. Essentially, what it tends to be a lot of times is a sentiment indicator. So like you said, the E compounding into infinity is the assumption in a price earnings ratio. And the earnings are volatile and mean reverting in some of these sectors. Historically, anyways, obviously, that's the big question this time. But the other thing, too, is that in 2023 or whatever, 2022, the Mag7 was money printing machines, basically. That's all they did was print money. They had no capex.

hardly at all. And they didn't really have a lot of physical presence in the world. They were just super cash flow machines, capex like cash flow printing machines. Now they're factory building machines that are spending more money on capex than any industry in the history of the world by a pretty big margin. And so they're not even comparable. If you look at a price earnings ratio of a company, in 2023 versus now. And, you know, like mad essay. And in 2023, they were all they do is print cash. And now they're they're cashflow negative. They're building these giant, you know, physical factories in the world that, you know, 80 million Americans just said they don't want in their backyard. That's a completely different company. So the to look at like a chart of this continuous line that and the

PE went from 25 to It's a 19 or whatever. It's not even the same company. So why are you looking at the price earnings ratio? And then most of those things that show like when price earnings are this, forward returns are this. They're essentially just like a regime. So like, you know, you bought stocks in 2003 or you sold them in 2000 or at the end of 1999 or whatever. There isn't like a lot of Truth to those charts in my opinion like they look really good because you're bundling a whole bunch of years that we're all the same regime But I don't know I guess what I would say is Unless you and I also like look at how value investors have done since 2009 as well. It's I Don't think price earnings ratios are a useful metric. It's like I don't know I I understand there's a lot of books been written about value investing and all that and maybe if you're really, really in the weeds and you understand a company and you can say, okay, yeah, these earnings have robust compounding power, et cetera. Sure. But someone just looking at, okay, PEs went from 25 to 19 on this company or 25 to 18, just literally means nothing because first of all, multiples can compress to 15 just because and also earnings can come often. And then, you know, the, this prosyclicality of the market.

is the market looks at these earnings and and says they're going to go on forever and they don't. So it is amazing, though, that those numbers like SK hynics, their earnings projected just their US dollar earnings projected for the next three years are bigger than their market cap, which is absolutely insane. They're supposed to make like 800 billion in profit in the next three years. I mean, maybe they will. That's the thing. Maybe they will. But but anyways, But no, but but but I want to reflect with you on how one has to think about the distribution of outcomes for next year. It's very different. Like if I tell you stocks in any given year brand, you would tell me, OK, dude, like there is a 70 percent probability we're going to be up between 7 and 12 percent. Then there is a small probability we're going to be up 20. And there is a small probability we're going to be down something. OK, that will be your typical return distribution of a stock market next year. Next year, I think I have to tell you.

No, no, no, we are like either 50% were up 20, 50% were down 20 or something like that assigned your subjective probability. But my point is that the distribution is very different. It's much more binary. Like normally,

you have a very fat body of the distribution where people say, you know, valuations are going to be unchanged that earnings are going to deliver. So let's say up 8% in a year or 10% in a year, right? That's where a lot of the projections would be next year. I find it very different. I'm more trying to figure out what is the right framework to approach a market that has such a probability distribution. Yeah, it's a really interesting question. So I was just checking the stats. So 39% of years are up 20% or more. This is NASDAQ, so obviously the most volatile index. 40% are up 20. 13% are down 20, which is actually a bigger share than I thought. But I agree with you that, essentially, A big part of the question here is, okay, we spent more money than the railroads inflation adjusted, and is there going to be a payoff? That's the question. But then in the interim, the mini question is, can the market wait to find out? Because you don't really have visibility in January of 2027. So it's all faith. And then once the faith starts to crack, Then the problem is then the financing starts to become more difficult and more expensive. CDS wide ends and all that. And so now my question that is relevant for short-term traders as well is, is Anthropic going to postpone their IPO because it's a really tricky condition here for a company to come to market. However, maybe the baller move is just to keep pressing on. They're talking about November 16th pricing.

trading November 18th is kind of like the rough window of where this thing is supposed to happen. Generally, any other company would probably be delaying. Probably next week you'd be hearing about a delay, but I'm wondering if Anthropic maybe tries to grind it out. However, either way, I think if they announce that they're not or that they're postponing, the market will take that as a negative because financing conditions have tightened and all that. But then ultimately I think that might be a sign of the bottom because it does remove a massive chunk of supply because obviously they're not IPO-ing and anyone else that's thinking about it's probably going to stop as well. And then also just from a sentiment point of view, you know, for them to capitulate is probably a kind of a sign of the bottom as well. So that's one thing I'm looking for next week. Is Anthropic going to keep going or are they going to postpone? What do you think? Do you have any thoughts on that?

I think they will go through, and I think this also might be an important clearing event for the market. I agree with you. At the end, if they go through, there's a lot of people that two months ago would have died to get entropic shares. Literally, right? Would have given an arm and a leg for some entropic shares. it would be very interesting because if there are people that have still the ability to come in and say, I still want entropic shares, they're cheaper now. Thank you very much. I want more of them. This might actually be an interesting clearing event for the market. I was also thinking about, oh, by the way, when I was off, I told you this offline, but people should also hear it in the podcast. I was reading your book when I was there.

and man what a book guys if you haven't bought it please go ahead it's fantastic it's a mix of like stories frameworks how to how to basically think of this like a meta game at the end of the day right and it's typical of a trader type of stuff but this is probably even better I should say to a certain extent it's more like a little bit more philosophical story based I really I'm really enjoying it and as I was reading this there was a point in which you basically talk about something that is happening right now, which is if I would have told someone that the NASDAQ would have drawn down 12 or 13% and that the high beta momentum basket would be down 20% on the year after having been up 60% on the year in June. So in a few months would have dropped a lot. And I would have asked somebody, where is the dollar? The answer would have been the dollar is down. I mean, that's like a typical capital outflow from US AI focus thing and the dollar isn't down actually yesterday with the NASDAQ down seven The dollar was flat-dish something like that and in the book you mentioned the part where Where you say if there is something that is clearly happening and it's in the news and everybody's seeing it and an asset isn't responding as you think it should Yeah, that is the typical Bad news good price action type of framework, right? So that's not an environment that we should push for your like your belief to come true because the market doesn't care about your beliefs, right? This is something also you stress out in the book. So that happened yesterday. And then yesterday happened, something else happened, which is I saw that the top Bloomberg journalist for hedge funds sent me something like 13 headlines. I swear, I'm not kidding. 13 separate headlines that said something like hedge fund X Y Z is getting blown up.

pod team XYZ in this pod shop is getting fired. These other hedge fund is down 10% in a month, blah, blah, blah. 13 of these, right? Which really made me think, hey, maybe we have liquidated enough down here. Just a little sentiment check to throw out there. But mostly the dollar reaction I found incredibly interesting. It's typical very bad price action in stocks that you would expect to trip over to the dollar and it doesn't. But really, this is just a marketing message for brand book. Just go and buy it. It's fantastic. Great. Outside the box is the name of the book. Thanks, Alf. Very good marketing there. Because I didn't even mention the name of the book, but it's very well done. I'm very good at marketing. And what Alf's referring to there on the good news, bad price or bad news, good price is the US dollar really has held in very well through this Nasdaq sell off even against the more defensive currencies like the yen and the euro. So normally in the in the battle days, you know, dollar yen would be down 300 points or 500 points. And, you know, today it's basically flat. So the transmission from equities to FX is completely broken. There is just absolutely no connection whatsoever. Yeah, I'm trying to think whether we should talk about other stuff.

It's so much tech to even these days basically there You know, it's the only thing that people are looking at I saw that there There are a few more interesting things that I would like to talk touch upon at least for a second One of it is Japan So I'm starting to develop a thesis there because if I look at my indicators brand I see that Nominal wage growth is picking up a lot real wage growth is picking up a lot the famous shunto negotiations which are like those March April labor union negotiations in Japan are pointing to a demand for 6% plus nominal wage growth. 6% plus. I mean, that's like double the rate of US wage growth. That's what we're talking about here. And I was wondering, you know, what if Japan finally has seen this cyclical inflation come to them as well? A little bit of it. It doesn't need to be crazy.

But what if inflation goes to, let's say, core goes to 2.5% or 3% in Japan? Then what should we think there? Because at the end of the day, now you have a very asymmetric situation where around 160, the US and Katayama have shown their hands. I mean, it's pretty clear they're going to try everything they can to stop this thing from going above 160. Add on top of it some domestic nominal wage pressures. Maybe, maybe we get the

Japanese yen rally. I mean, this is crazy because... people always like to say that it never happens. But if the thesis behind the nominal wage really comes through, then perhaps, perhaps it's time for the Japanese yen to rally. I'm still in that camp, but it's been extremely frustrating. You know, any options that you bought have expired worthless or that I bought have expired worthless. And then you're you're also short carry being short dollar yen. However, That doesn't necessarily mean that it's wrong, right? We've been in a 2% range for more than a month, probably more than almost two months, really, with one brief deviation. But if you look at, like, DOE and versus the moving averages and things like that, everything has flattened out. And sometimes that's what happens is it just has to shake off everyone before it finally does the thing that it should have been doing. And this theory that GPIF and other large pension funds are buying yen, repatriating because interest rates are reasonable in Japan now, could still actually be true because above 158, 30, 50, there has been this massive wall of supply of dollar yen. So I am a believer too, but my faith is kind of low right now just because it's the difference between like, okay, I do think 12 months from now I would definitely take the under versus spot right now.

But the real question is, how do you actually do it? How do you structure it to make money? Because you're the skew and the carrier against you. And it's just a hard trade because you either have to time it or you need to own really expensive options and have a lot of faith. Because owning one year 150s or something like that is a really, really challenging environment right now when realized is 4%. you know, it's realizing like 30, 60 day realized is like 4% in yen. It's very hard to make money, you know, long or short or not or in between. So I guess what the market's waiting for what we're hoping for is a catalyst. And the problem, I guess, for the frustration, the frustration is that you did get some catalysts. Actually, you got three. You got what you described, which is like a higher higher wage negotiations.

in Japan, pretty good inflation numbers, like higher inflation numbers in Japan. And so excuses for BOJ to go, you got a collapse in US 10 year yields from 530 to 485 in pretty short order. And you got, you know, 6,000 points in the NASDAQ. And those are all pretty good catalysts for lower dollar yen and dollar yen is not lower. And but then like you said, there's really no point being long dollar yen, whatever is going on because you

know, your upside is probably capped at 160. And then you got to fight the the Ministry of Finance again. So it's a it's a weird setup. And I agree, eventually, it's gonna be right. But now I'm kind of on the sidelines because it's whiffed on too many catalysts. Makes sense. Do you want to talk about a orthogonal topic to discussion, not your neck or something? What what is what's the top of your mind? I guess the one thing that I've been thinking about is What's going to happen to precious metals over the next 12 months or so? After a parabola, normally you get a vol collapse and people just lose interest in the things. But precious metals, people just never lose interest. There's always going to be some amount of interest. And I don't know. So what do you think about precious? You can kind of argue that gold's holding in pretty well down here, 3,900, 4,000.

or you can just argue like this stuff's going nowhere and really there's no there's no story. So I'm just curious because normally you have a view on metals and I was also thinking about my own PA for next year of like how to allocate you know I think there's an important thing as you get older you want to have less risk in your in your retirement money just because you're going to need it sooner and you don't want to you know experience a 25 drawdown. So, you know, I think about precious metals from that point of view as well. I think, um, first of all, price action is very encouraging, uh, relative to other, I mean, precious metals are also momentum. Like if you run a regression between precious metals and momentum, you'll find a very high R square, generally speaking. So the fact momentum is getting taken to the woodshed and precious metals are really not, uh, I mean, silver is basically there. Try to go to trade at 50 and bounce back already to 51.52. Gold is holding around 4,000. It's not.

that bad actually risk adjusted compared to other momentum asset classes makes me hope I would say that most of the bad news is already priced in and the luck of interest after a parabola that's super interesting I think that's already happened in in big size I mean the peak in gold and silver this year was in February I believe where we traded at the highs and I swear I swear from my maybe May to November, there was nobody ever asked the question about Google civil to me, maybe just one small episode, which was the buyback program of Besant, where there was a little bit of enthusiasm back for metals, but it lasted like two weeks, maybe that was it.

So to me, the lack of interest is very well established, which is generally good news to go along these right the ball is very low, which means when you size, you can get a little bit more notional in they are resisting quite well to another momentum drawdown. When I look forward, metals tend to do well in two circumstances. The first circumstance is where monitoring fiscal policy are completely misaligned, and that is what we saw at the end of last year, beginning of 2026. I don't think that's going to be the case again. So if you ask me, do you think we're going to be up 50% in gold next year? I think the chances are pretty small. But do I think gold can deliver a 15-20% rally?

Yes, it's possible because the other environment where metals do well is when you remove hawkish macro tails, which means nominal growth in the US slows down from six and a half to, let's say, five and the Federal Reserve delivers another hike and then they stop. Under these circumstances, I think gold prints 15-20% next year, which is like a one standard deviation event, something like this on a year for gold, which would be pretty fine. And I think that's quite likely. So when I look at my asset allocation, I think metals are pretty interesting looking at next year. At the end of the day, you can argue, Brent, that the slowdown in CapEx is still going to be there. Maybe isn't going to be massive, but it is somehow going to be there. I mean, the Dems have certain agendas. They're going to slow it down a bit. US nominal growth with the bit of a fiscal drug is a big word, but bit of a fiscal.

slow down in the second impulse, might also bring down nominal growth in the US. So why should the Fed not hike in December and just stop? Rates are 4%. Inflation is 3%. You have positive real rates. The momentum of the economy is slowly slowing down. So why should you should not pause? And if you do pause, then I think metals will do fine. So this is interesting because I kind of just threw it out there because it popped into my head. But I was just looking at the chart and then also thinking about more micro. As you said, when there's a rush for liquidity, a lot of times, gold and especially silver gets thrown out. And you had the Binance hack, so that partly explains crypto. So tech is down a lot, crypto is down a lot. And gold and silver have held in well. And then looking at the chart in gold, there was a

huge support at 3900 that we broke. And then we kind of had a very impulsive move back above it.

And so yeah, and I agree with like this Fed does not want to hike. Like they're only hiking because they get embarrassed into it and their default is like, Worc is very much like yelling in my mind where he's always going to say that they're trying to fight inflation, but never going to really do anything unless he has to. So I think the bar for them to stop is pretty low, especially if stocks end up down 15, 20%. You know, NASDAQ I think was down 14% at the, at the lows yesterday. And then, you know, there is also an argument that all this money, you know, 2 trillion of exits yesterday or whatever, some of that money will eventually reappear somewhere and maybe it goes into more conservative things like gold. So, and then, you know, looking at the chart and everything, I wonder if also there might be some trades to like sell put spreads to buy call spreads and things like that because owning outright vol doesn't really feel like the trade given that Like I said, I just feel like speculative money usually waits about three years before it will reappear in the same spot where it got obliterated. And so normally, like you won't see money come back. If people get blown up in Bitcoin in 2018, they're not going to come back till 21, and then they come back again in 25 or whatever. And I feel like so it's too early to think like, OK, gold's going to go to 6,000.

but maybe doing some kind of structure where you're flatball, long, but long delta somehow, or just buy gold and put a stop below the lows, honestly might be the simple trade as well. But it is trading quite okay. And also in the face of a stronger dollar, right? So you have lower Bitcoin, lower stocks and a stronger dollar and gold is actually trading pretty well. So I think I might do something in gold. Yeah, yeah, I was also thinking about it. And by the way, let's finish this by reminding ourselves how big brain macro people we try to be here because Brent had Talked with himself now talking about the digi risk reversal of selling put spreads buying cold spreads And then they the big round and said, you know, maybe I should just lift some futures and put a stop below below the lows Yes, that is like in my experience 90% of the case is the right thing to do just you have a very clear chart stop there It's below the low that you have managed to hold so far and it's a big resistance down there at 3900 Just buy some, you know,

make sure you don't pay all these bid asks in options all the time and But macro people, myself, I always fall in the same thing. We look at options every time. I look at this, I can structure this, structure that. Yes, you can probably just pay very hefty bid asks to do something you could have done in Delta 1, much cheaper with a stop. Thank you very much. Lesson to myself as well, just a reminder. Yeah, usually starting with the simplest idea is often the best. And I do feel like a lot of times, also, if you really take the time to map out, OK, what does a P&L look like?

You know, it's obviously even easier now with Claude and all that. You say, okay, I'm long at 4,000 with a stop here, or I sell put spreads and buy call spreads and you price everything up and all that. Okay. And then gold goes to 4250. What's my P and L? It's usually pretty close to being the same. Like the synthetic outcome or the delta one outcome very often is very similar. So like you have to have a strong reason of like a divergent path. versus what the market's priced to actually do something in options. Delta one often is the best, even though it feels kind of basic. Actually, sometimes simple is good. We're not here to sell newsletter guys. So sometimes we prefer the easy stuff for the sake of our own P&L and just sharing frameworks and mistakes we have done along the way. I enjoy this very much, Brent. Let's try to keep up the rhythm now that I'm back. Unless do you go away or do we have this next week?

I will be here other than the week of Thanksgiving. Amazing. So talk to you guys next weekend. Thanks for listening. All right. Pole, pole.